

22STCV22134 22STCV22134

County: los-angeles

Division: Civil Law and Motion

Department: 311

Hearing date: 2026-07-30

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Case Number: 22STCV22134 Hearing Date: July 30, 2026 Dept: 311

SUPERIOR

COURT OF CALIFORNIA, COUNTY OF LOS ANGELES

Civil

Division

Central

District, Stanley Mosk Courthouse, Department 311

Tentative

Ruling

22STCV22134

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KOUEBOR vs HYUNDAI MOTOR AMERICA

July

30, 2026

8:30

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NATURE OF PROCEEDINGS:

PLAINTIFF'S

MOTION TO VACATE ORDER COMPELLING ARBITRATION, LIFT STAY OF LITIGATION, AND

REQUEST FOR MONETARY, EVIDENTIARY, TERMINATING, AND CONTEMPT SANCTIONS AGAINST

DEFENDANT AND/OR ITS COUNSEL OF RECORD.

RULING:

The Court denies the Motion.

Defendant to give notice.

I.

BACKGROUND

The Court incorporates by reference the Background section set forth in the Minute Order entered March 12, 2024, granting Defendant's Motion to Compel Binding Arbitration and Stay Action.

On October 1, 2025, Defendant filed a Motion for an Order Appointing an Arbitrator. Plaintiff advocated denying, because agreement language expressly allowed Plaintiff to select the JAMS organization instead of AAA. On November 6, 2025, the Court denied that Motion in favor of Plaintiff's position.

On June 11, 2026, Plaintiff filed the Motion to Vacate the Order Compelling Arbitration, Lift the Stay of Litigation, and Request Sanctions.

Defendant responds that waiver of arbitration and sanctions are not automatic, but instead good faith, inadvertence and excusable neglect are taken into consideration.

II.

LEGAL STANDARD

Businesses that draft arbitration agreements shall pay their fair share of arbitration fees no later than 30 days after the date due or waive the contractual right to arbitration. (Suarez v. Superior Court (2024) 99 Cal.App.5th 32, 36-37; Cvejic v. Skyview Cap., LLC (2023) 92 Cal.App.5th 1073, 1078.)

Code of Civil Procedure, "Section 1281.99 mandates a monetary sanction of 'the reasonable expenses, including attorney's fees and costs, incurred by the employee or consumer as a

result of the material breach' (§ 1281.99, subd. (a)), and further allows the court to impose evidentiary, terminating, or contempt sanctions 'unless the court finds that the one subject to the sanction acted with substantial justification or that other circumstances make the imposition of the sanction unjust.' " (Wilson v. TAP Worldwide, LLC (2025) 114 Cal.App.5th 1077, 1085 (Wilson).)

"A court has broad discretion to accept or reject late-filed papers,..." (Haydon v. Elegance at Dublin (2024) 97 Cal.App.5th 1280, 1289.)

III.

ANALYSIS

Plaintiff argues that Defendant refuses to pay certain fees and costs to JAMS, and thus has waived arbitration and delayed the resolution of this case that should proceed. Plaintiff also requests \$2,858.40 in sanctions and terminating or contempt sanctions against Defendant and counsel, pursuant to Code of Civil Procedure section 1281.99, subdivision (b). Plaintiff's Reply adds that the Opposition was filed late, should be disregarded, and adversely affects the ability to better draft the Reply.

Defendant responds that it moved in good faith, albeit unsuccessfully, for appointment of an AAA arbitrator, and thereafter Plaintiff needlessly delayed in communicating and filing the Motion, whereas Defendant remains willing to arbitrate using JAMS that Plaintiff selected.

Parties untimely paying arbitration expenses may seek relief where nonpayment of fees resulted from inadvertence, good faith mistake, or other excusable neglect. (Hohenshelt v. Superior Court (2025) 18 Cal.5th 310, 349. Accord, Wilson, supra, 114 Cal.App.5th at p.1090 ["was not willful, grossly negligent, or fraudulent as Hohenshelt used those terms to avoid preemption of section 1281.98."].)

"[I]t is plaintiffs who must prosecute their case, including submitting a demand as specified in the arbitration agreements, so that it may proceed." (Arzate v. ACE American Ins. Co. (2025) 108 Cal.App.5th 1191, 1201, fns. 4 - 6 [not addressing situation where defendants had already initiated arbitration, or agreements or

orders that required them to].)

The parties have failed to cite that determinative Arzate opinion. Nevertheless, a court is not required to ignore controlling law merely because the parties omitted to cite it. (Dey v. Continental Central Credit (2008) 170 Cal.App.4th 721, 730.)

Here, the Court's October 1, 2025 Minutes did not require either party to initiate arbitration. Further, the parties' agreement and various optional rules did not so provide. (See Bryan Reynolds Declaration, filed 10/1/25, Exhibit B, p. 8, ¶¶ Q(F).)

Further, because Plaintiff could have initiated arbitration with JAMS, without waiting for Defendant to volunteer to do so, the Court finds and concludes that Defendant has not waived arbitration.

Alternatively, the Court finds that Defendant's not initiating arbitration resulted from inadvertence, good faith mistake, or other excusable neglect, due to moving for appointment of an arbitrator and then not hearing from Plaintiff's counsel about the issues. (Opposition, p. 5 (Bryan A. Reynolds Declaration).)

IV.

CONCLUSION

Therefore, the Court denies the Motion.